

ACC241 – Chapter 6

Activity #3: High-Low Method

Using the following information for Jessica Company, analyze the cost behavior between the total costs and units produced for the six-month period. Use the high-low method to identify the variable cost rate and the fixed cost portion of total costs.

<u>Month</u>	<u>Total Costs</u>	<u>Units Produced</u>
January	\$82,000	400
February	58,750	275
March	78,125	390
April	65,000	325
May	81,850	415
June	68,750	345

a. Use the high-low method to estimate variable cost per unit and total fixed cost.

b. Use the high-low method to estimate total costs for 420 units: